

Supply and Demand

The law of supply and demand describes how prices are determined in a market economy.

Demand refers to the quantity of a good that consumers are willing to purchase at various prices.

Factors affecting demand:

- Consumer income
- Prices of related goods
- Consumer preferences
- Population size

Supply refers to the quantity of a good that producers are willing to offer at various prices.

Market Equilibrium

The equilibrium price is where supply and demand curves intersect. At this point, quantity demanded equals quantity